



Prepared For: Ranger Equity Investments IC

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RECOMMENDATION

Giving a **BUY** recommendation for **ABM Industries**, with a target price of \$67.13 over the next 2 years, implying a 67% upside from its current price of **\$40.20**. This was achieved by a combination of DCF and Comparable Company Analysis, with the Comps yielding a **50%** upside, and the DCF a **78%** upside.

KEY PILLARS

ABM's share price fell in March following the Q1-26 margin disappointment and cautious near-term sentiment. While top-line grew strongly, adjusted EPS missed consensus by roughly 4-5% as several segment margins compressed. Technical Solutions, the most fondly looked upon segment, experienced project timing, weather, and unfavourable mix which halved its margins. The stock traded down around 10-12% as the market refocused on ABM's thin margin structure, and temporarily elevated leverage post-WGNSTAR. It ignored the positive updates on some long term projects and temporary nature of the problems, creating an opportunity to buy the stock at a discount.

1. **Structural shift into technical markets:** ABM Industries is undergoing a strategic structural shift, transitioning from commoditized office janitorial services toward high-value, mission-critical end markets like data centers, semiconductor fabs, and major aviation hubs. While the market continues to value the company as a low-margin manual labor provider, the numbers reveal a shift towards higher-quality earnings mix. Despite temporary margin "noise" caused by seasonal project timing and weather, the underlying thesis remains that ABM's incremental profit is increasingly derived from technical, integrated work that supports superior organic growth and margin expansion beyond the legacy segments.
2. **Efficiency through ELEVATE:** ABM Industries is currently undergoing a foundational transformation through its ELEVATE program and a new ERP platform, which are beginning to drive higher-quality margins and improved FCF conversion. While the market is currently distracted by "noisy" items like self-insurance adjustments and weather-driven project delays, the Education segment serves as a successful "pilot" for this tech-enabled playbook. ABM is positioned for material EPS uplift that remains under-modeled by the Street, which still views the company as a structurally capped, perpetually volatile margin story.
3. **Embedded, integrated operations with sticky relationships:** ABM Industries has evolved from a simple service vendor into an indispensable, embedded operator that manages critical workflows for complex environments like airports, data centers, and semiconductor fabs. By bundling into a single relationship, ABM creates high operational switching costs; the risk of a failed transition in mission-critical facilities far outweighs any modest price savings from a local competitor. But, the market continues to undervalue ABM as a price-sensitive labor broker, failing to recognize the deeper moat created by its integrated, tech-enabled model.



COMPANY DESCRIPTION

ABM Industries is a leading US-based provider of facility maintenance, engineering, and infrastructure solutions, generating \$8.7B of revenue in FY25 (year ended Oct 31, 2025). The company delivers janitorial, facilities engineering, parking and transportation, aviation services, and technical infrastructure solutions to commercial offices, high-tech campuses, schools, airports, industrial and logistics sites, data centers, and semiconductor facilities. Operations span all 50 US states with additional presence in the UK and Ireland.

Janitorial services remain the largest service line at roughly 60% of revenue, followed by operations and maintenance (including facility engineering) at about 15%, building and energy solutions (such as microgrids and EV charging) at around 10%, with parking and aviation-specific services contributing the balance. Most revenue is recurring under monthly service contracts. Core services are delivered under a mix of fixed-price, per-square-foot, and cost-plus contracts, while project-based work in Technical Solutions and seasonal or weather-sensitive services add incremental volatility on top of the base.

Segment Structure and Revenue Mix

ABM reports five industry-focused segments. Across B&I, M&D, Education, and Aviation, contracts are predominantly fixed-price or per-square-foot, often with cost-plus and work-order components layered on, while Technical Solutions combines project-based and recurring technical infrastructure agreements.

- **Business & Industry (B&I) - \$4.1B:** Provides janitorial, maintenance, facilities engineering, parking and transportation services to commercial real estate, healthcare, and sports/entertainment clients.
- **Manufacturing & Distribution (M&D) - \$1.6B:** Serves manufacturing plants, logistics and distribution centers, and data centers with integrated janitorial and engineering solutions.
- **Aviation - \$1.1B:** Provides airports and airlines with janitorial and maintenance, cabin cleaning, passenger assistance, baggage and catering logistics, and parking/transportation; sensitive to traffic levels and cost cycles.
- **Education - \$0.9B:** Delivers janitorial, grounds, facilities engineering, and parking services to K-12 and higher-education institutions under multi-year RFP-driven contracts.
- **Technical Solutions (ATS) \$1.0 B:** Focuses on mechanical and electrical systems, building energy solutions, EV charging, microgrids, critical power for data centers, and technical workforce/equipment support for semiconductor and high-tech manufacturing; lumpier project revenue, while work order revenue and weather related services sit on top of these recurring bases, introducing variability.

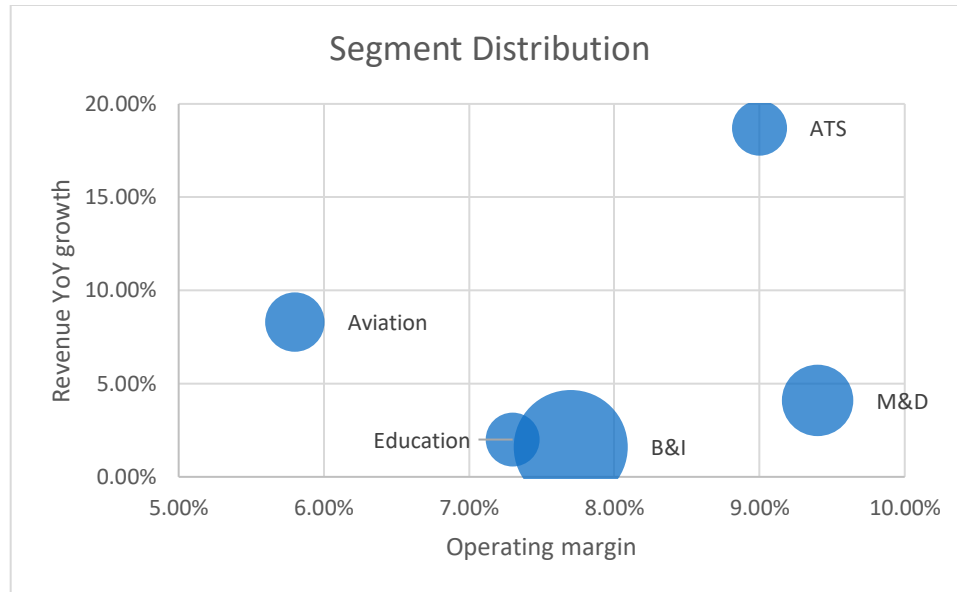


Fig 1:Margin & Revenue growth based on segment size relative to total

Business Dynamics

Overall, ABM serves as a "one-stop shop" for commercial offices, airports, data centers, and semiconductor facilities. While janitorial services remain the anchor at 60% of revenue, the company is aggressively pivoting toward higher-value Technical Solutions and mission-critical infrastructure. This strategic shift is designed to move ABM away from the highly competitive, price-sensitive bidding typical of manual labor contracts and toward specialized, tech-enabled services with higher barriers to entry and greater pricing power.

Revenue visibility is generally strong, supported by high **client retention rate**. However, ABM operates in a commoditized industry where **margins are frequently pressured by competitive bidding**. To defend its market share, management often utilizes "strategic pricing" - accepting thinner initial margins on large-scale contracts to secure the account. Once a relationship is established, an additional path to margin expansion is **cross-selling**: layering higher-margin technical maintenance, energy efficiency projects, and supplemental work orders onto its existing base of low-margin janitorial labor.

Strategic Repositioning

Over the last several years, ABM has been repositioning from a broad janitorial roll-up toward an industry-focused, **tech-enabled facilities platform** with growing exposure to mission-critical end-markets. Internally, it has enacted a new multiyear ELEVATE program and an ERP platform that are standardizing processes, improving labour efficiency and data integrity.

Externally, targeted M&A has shifted the mix toward mission-critical end-markets. Its most recent acquisition, **WGNSTAR** (Feb-26), provides entry into the semiconductor fabrication market, positioning ABM to service the massive pipeline of new US-based chip factories. These moves effectively tilt the portfolio toward high-complexity work that commands better margins than standard office cleaning.



Acquisition	Core Vertical	Benefit	Impact
RavenVolt (2022)	Energy / Retail	Power Independence: Moves ABM from "cleaning buildings" to "building power plants." They design and install microgrids (on-site power) and electric vehicle (EV) charging stations.	Made ABM the #1 commercial installer of EV chargers in the U.S.
Momentum & LMC (2022 / 2025)	Ireland / UK Tech	Global Tech Support: Established a footprint in Ireland and the UK to support major American tech companies that need consistent service for their offices and factories overseas.	Strategic hub for Technical Services growth in Europe.
Quality Uptime (2024)	Data Centers	24/7 Power Safety: Specialized in keeping data centers running. They manage Switchgear —the "control centers" that route electricity and protect servers from power surges—to ensure AI systems never go dark.	High-margin, recurring technical service for hyperscale data centers.
WGNSTAR (2026)	Semiconductor Fabs	Advanced Manufacturing: Entry into the "inner ring" of computer chip factories. Positions ABM to service the CHIPS Act Pipeline - a \$400B federal program funding massive new chip factories in the U.S.	\$120-130M expected FY26 revenue at Mid-teens EBITDA margins.

Table 2: Recent acquisitions

Taken together, these moves have tilted ABM's portfolio toward mission-critical end-markets such as education, aviation, data centers, and semiconductors, and toward technical infrastructure offerings like microgrids and critical power that sit above core janitorial in value and complexity.

Financial Performance Overview

ABM's financial profile reflects steady top-line growth, structurally thin but stable margins, and moderate leverage supporting acquisitions and shareholder returns. FY25 revenue grew 4.6% year-over-year, with organic growth of roughly 3.8%. Profitability is constrained by the labor-intensive model with FY25 operating margin was about 3.6%.

The balance sheet carries moderate leverage: as of FY25 year-end, total debt was around \$1.6B against EBITDA in the mid-\$400M range, with ample liquidity under the revolving credit facility. Operating cash flow has been temporarily affected by ERP-related billing and working-capital friction but improved meaningfully in FY25 versus FY24, and management guides to further normalization and incremental free-cash-flow uplift as ELEVATE spending and restructuring taper.



Fig 2: ABM's clientele (Source: Investor presentation)

EXPERIENCED MANAGEMENT

ABM is led by a relatively stable executive team with long internal tenures, anchored by CEO Scott Salmirs and internally developed CFO David Orr. Continuity at the top has supported multi-year transformation initiatives such as 2020 Vision, ELEVATE, and the portfolio shift toward higher-value technical segments.

Scott Salmirs – President & CEO

- CEO since 2015 and only the 7th CEO in ABM's 110+ year history, providing rare continuity for a services business.
- Spent more than a decade in senior roles at ABM before becoming CEO, including leadership of the Aviation division, international operations, and the large Northeast onsite region, giving him deep operational familiarity across key segments.
- Under his tenure, revenue has grown from roughly \$4.9B to over \$8B, while adjusted EBITDA has more than doubled and margins have expanded meaningfully, driven by ELEVATE, M&A, and mix shift toward higher-value, mission-critical offerings.
- Earlier roles at Goldman Sachs, Lehman Brothers, and CBRE's facilities group add a blend of financial discipline, real-estate perspective, and services experience that aligns with ABM's current focus on complex infrastructure and technical end-markets.

David Orr – CFO

- With ABM since 2001 in various finance and segment roles, giving him long-standing familiarity with segment economics, contract structures, and the company's capital allocation history.



- Promoted to CFO in June 2025, with management framing the move as part of accelerating growth and executing the next phase of ELEVATE and the strategic portfolio shift.
- Viewed as a continuity candidate rather than an external change agent, which supports execution on ERP normalization, margin targets, and balance-sheet management rather than a radical strategic reset.

Melanie Kirkwood Ruiz - CIO

- Responsible for enterprise-wide technology strategy and operations, including ERP, data platforms, and client-facing tools.
- Joined ABM in 2020 after leading technology strategy for the Americas at Cushman & Wakefield and has been recognized on the Forbes CIO Next list, underscoring external credibility.
- Key driver behind the ELEVATE systems rollout, ABM's ERP implementation, the ABM Connect platform, and the use of AI and digital tools to improve scheduling, predictive maintenance, and client reporting - core to the thesis that ABM is evolving beyond a traditional janitorial contractor.

Rene Jacobsen - COO

- Oversees day-to-day operations of a 100k+ employee workforce in a labor-intensive, multi-segment model.
- Central to delivering on ELEVATE, restructuring actions, labor deployment, and segment margin targets, particularly in integrating acquisitions and managing contract profitability at scale.

Tom Gallo - Executive Vice President & Chief Strategy Officer

- Responsible for corporate strategy, mergers & acquisitions, and sustainability.
- Shapes ABM's long-term strategic direction and capital deployment, integrating strategy, M&A, and innovation - directly linked to the company's shift into microgrids, data centers, and semiconductor services through deals such as RavenVolt, Quality Uptime, and WGNSTAR.
- Brings over two decades of experience at ABM, including prior roles in operations and finance providing both strategic and executional perspectives.

INDUSTRY OVERVIEW

ABM operates in the outsourced facility services and facility-management market, which spans janitorial, maintenance, engineering, parking, aviation support, and technical infrastructure services. The market is large and highly fragmented, with a clear split between low-complexity, commodity cleaning and higher-value technical and mission-critical services such as data-center support, critical power, HVAC, and specialized industrial environments. That bifurcation matters for ABM because the company still competes in the commoditized layer but is deliberately trying to move more of its mix into the higher-value layer.



Key industry trends:

- Outsourcing remains attractive as clients look for single integrated providers to simplify vendor management, improve compliance, and standardize service across multi-site portfolios.
- The rise of digital buildings, IoT, predictive maintenance, and AI-supported operations is making professional facility management more valuable, particularly in large campuses, airports, public institutions, data centers, and advanced manufacturing.
- Secular demand from data centers, electrification, and semiconductor investment is pushing more spend toward technical services and infrastructure solutions rather than plain janitorial.

Market's two layers

The **commoditized layer** consists of basic cleaning, custodial, and parking services where competition is intense, contracts are smaller, and pricing is tight. The **differentiated layer** consists of technical infrastructure, mission-critical operations, and multi-site integrated contracts, where switching costs, compliance requirements, and operational complexity are higher and where technology, safety, and uptime matter as much as labor cost. ABM still has significant exposure to the first layer, but its strategy and recent M&A are geared toward shifting more revenue into the second.

Competitive landscape

The competitive landscape is fragmented, with thousands of local and regional contractors alongside a handful of large integrated providers (such as ISS, Sodexo, Aramark, Compass, EMCOR, GDI, and CRE-oriented platforms like CBRE and JLL). In basic janitorial and small single-site work, ABM primarily faces local and regional operators that compete on price and relationships, especially in B&I and Education. In larger, more complex accounts - national B&I, M&D, Aviation, and technical infrastructure - ABM competes against scaled FM players that offer bundled services, account management, and technology platforms. ABM is not the lowest-cost cleaner in every local market nor the most global CRE/FM platform, but it is a scaled US-centric operator with depth in aviation, education, and technical infrastructure.

For this report, the key industry angle is not simply that the market is growing, but that outsourced facility services are becoming more valuable as buildings and infrastructure get more complex, clients outsource non-core operations, and technical infrastructure needs rise in data centers, semiconductors, airports, and electrified facilities. ABM is positioned for this shift because its business already spans labor-heavy services and higher-value technical work, and its stated strategy is to push more deeply into the differentiated, mission-critical layer of the market rather than compete solely on price in the most commoditized segments.

INVESTMENT THESIS

Thesis I: Structural mix shift into mission-critical, technical end-markets

ABM is steadily shifting its growth and profit mix away from commoditized janitorial work toward its Technical Solutions segment, which is more technical, more embedded in client operations, and carries better economics. But the stock still largely trades as if ABM is a generic office janitorial outsourcer.



Progress within Technical Solutions

Technical Solutions is ABM's higher-end infrastructure and technical services arm. It delivers mechanical and electrical upgrades, energy and microgrid projects through the RavenVolt platform, and critical power and UPS (uninterrupted power supply) maintenance for data centers via the Quality Uptime acquisition. On top of that, ABM has now added WGNSTAR, a specialist provider of managed technical workforce programs and equipment-support services for semiconductor fabrication plants and other high-tech manufacturers. WGNSTAR brings more than a thousand skilled technicians, long-tenure relationships with over 30 semiconductor customers, mid-teens EBITDA margins, and is expected to contribute well over \$100 million dollars of revenue in its first year, with a double-digit growth profile. This cluster of businesses means a growing portion of ABM's work sits inside or adjacent to mission-critical infrastructure rather than at the outer, more commoditized edge of facilities.

Through the numbers

You can already see the mix shift in the numbers. In 2025, Technical Solutions' income grew 19%, compared to overall company growth of 4.6%, and this pattern continued in Q1-26. Business & Industry – the largest segment and dominated by basic janitorial, light engineering, and parking for offices – has been growing at low single digits. New sales bookings created a record backlog of \$1.9B in FY25, +12% YoY, with management explicitly pointing to strong contributions from Technical Solutions and Manufacturing & Distribution. In Technical Solutions, there is a clear seasonal pattern: roughly two-thirds of its operating profit is generated in the second half of the fiscal year as projects complete and backlog converts into revenue and earnings. That pattern further supports the idea that this higher-quality work is real, contracted, and actually turning into cash flows over time.

Market mispricing

What the market appears to be missing is that this mix shift is already underway and increasingly visible. The stock's valuation still looks like that of a low-growth, low-margin janitorial services provider that competes mainly on price and is heavily exposed to office utilization and wage/self-insurance volatility. Street models often acknowledge the acquisitions and segment growth but still treat Business & Industry and Education as the economic center of gravity, underestimating how much of the next dollar of profit is coming from Technical Solutions.

Short-term noise around Technical Solutions margins from project delays has reinforced that perception, even though that was only temporary due to project timing and weather, not demand. The underlying growth and conversion pattern is intact. The variant view is that ABM's earnings mix is quietly becoming higher quality and more embedded in mission-critical operations, but the stock has not yet fully reflected that shift and has instead overreacted to the seasonal underperformance in the ATS segment.

The implication is that incremental EBITDA is coming less from commoditized office and school janitorial contracts and more from technical, integrated work in infrastructure-heavy settings like data centers, semiconductor fabs, and microgrid projects. That should support slightly better organic growth and a modest margin tailwind as the technical mix continues to rise, even if the legacy segments grow only in line with GDP.



Thesis II: Higher margin and cash-flow quality through ELEVATE, restructuring, and contract discipline

ABM is in the middle of a multi-year upgrade of its “operating system” - via the ELEVATE program, a new ERP platform - that is starting to show up in better segment margins, more disciplined contract economics, and improving free-cash-flow conversion. The market tends to focus on noisy items like self-insurance reserves and weather-driven ATS volatility and underestimates how much the underlying margin and cash-generation profile is improving.

ELEVATE & other programs

ELEVATE is ABM’s company-wide strategic transformation launched in late 2021 to improve client experience, team-member experience, and technology/data capabilities. Under this umbrella, ABM has rolled out a new ERP system across Business & Industry, Manufacturing & Distribution, and Education, and is investing in client-facing technology, workforce-management tools, and data analytics to standardize processes, tighten labor management, and improve billing and working-capital discipline.

The ERP rollout initially created working-capital friction and weaker cash conversion due to billing delays in 2024 and the first half of 2025, but by FY-25 and Q1-26 management was reporting meaningful improvement in DSOs, working capital, and cash flow as more than 90% of transactions moved onto the new system.

Management is also being more selective on contract economics: they chose to exit a large, low-margin UK Business & Industry contract worth about \$70m of annual revenue because they did not see a path to acceptable margins, while deliberately accepting lower initial margins on certain strategic Manufacturing & Distribution contracts with a clear plan to lift profitability over time through labor optimization and cross-sell. These decisions signal a willingness to sacrifice some revenue for better long-term economics.

Education segment as an example

Education segment is a live, quantified example that the company’s multi-year operating upgrade (ELEVATE, ERP, better tools) can lift margins in a low-margin, labor-intensive business. It is a classic ABM segment: janitorial, custodial, and facilities services for K-12 and universities, with low-teens gross margins and historically mid-single-digit operating margins. It’s exactly the kind of business where you’d expect limited room for margin expansion. Yet the numbers over the past year look very different:

- In FY-25, Education revenue increased only about 2% to \$922m, but operating profit grew 22%, and segment operating margin rose from roughly 6.1% to 7.3%
- In Q1-26, revenue ticked up just 1.5% to \$228.7m, but operating profit rose 54% to \$21.6m, driving a 320-bp margin expansion from 6.2% to **9.4%**. Most importantly, this was well above street estimates of **6.8%**

This has specifically been attributed to enhanced **labor efficiency** and **escalation management**, with only about 50 bps uplift coming from temporary weather benefits. These benefits have been brought about by the ELEVATE program. The program is meant to standardize processes, tighten labor deployment, improve escalation and billing discipline, and give leaders better data to run contracts. Education is one



of the segments fully on the new ERP, and it is the one where the margin story is clearest and least distorted by project timing or self-insurance.

Transfer over to other segments: Now, similar labor-optimization projects and cross-sell plays are rolling through Business & Industry and Manufacturing & Distribution contracts, but those segments currently look noisier because of newer contracts and mix.

The thesis in a sentence: Education is the “pilot” that proves the ELEVATE/ERP playbook works and can be gradually applied to much larger revenue pools.

Market mispricing

The market is almost fully ignoring these efficiency improvements through the ELEVATE program. Deutsche Bank was expecting a 6.6% margin for Education for Q1, while UBS was expecting 6.8%, and it came out to be 9.4%. Similarly, while the street increased its EBIT margin expectations for the Education segment (from 7.5% to 9% for 2026), they have modelled essentially flat segment margins through FY28 for the other segments, including in B&I and M&D.

Instead, the market and street is fixated on the noisy part of the story. Sell-side notes around Q1 focused heavily on the ATS margin miss and gave limited credit to the structural Education margin step-up. It is treating the margin dip and some weather/mix noise as the “new normal” rather than a seasonal, segment-specific issue.

My stance is not that ABM’s margins are suddenly “high” - they are still mid-single-digit EBITDA margins in a labor-intensive business - but that the direction and quality of margins and cash flow are better than the volatility implies. ELEVATE and ERP are largely past the most disruptive phase and are beginning to contribute to cleaner billing, better labor management, and stronger working capital. The segment-level example of Education shows that disciplined execution can lift margins without heroic assumptions. When this transfers over to the 2 biggest segments: B&I and M&D, the EPS impact will be the material. Yet the stock’s multiple still reflects a view of ABM as a perpetually noisy, structurally capped margin story, creating opportunity for buying.

[Thesis III: Embedded, integrated operator with sticky customer relationships and tech-enabled differentiation](#)

ABM is not just a vendor of cleaning hours, it is increasingly an embedded, integrated operator that runs critical workflows for airports, schools, industrial sites, data centers, and now semiconductor fabs. Its ability to bundle multiple services under one contract, self-perform at scale, and layer in technology (ELEVATE systems, ERP, ABM Connect, AI tools) creates operational switching costs that are higher than the market gives credit for. The stock still tends to be valued as if ABM competes mainly on price against local cleaning firms, with low switching costs and little differentiation.

ABM’s core model is to integrate janitorial, engineering, parking/transportation, and technical infrastructure work into single relationships, tailored by vertical. In Business & Industry, a single client relationship can include nightly cleaning, building engineering, landscaping, and parking. In Education,



ABM may run custodial services, grounds, and maintenance across multi-campus university systems. In Aviation, it provides passenger services, cabin cleaning, and airport facilities support at large hubs, often under multi-year, multi-service agreements. In Technical Solutions, that integrated model now extends into data centers (via Quality Uptime's UPS and power-maintenance capabilities) and semiconductor fabs (through WGNSTAR's managed technical workforce and tool-support services), where ABM can combine outer-ring facilities work with inner-ring technical services for the same customer base.

About 65–70% of revenue recurring via long-term service contracts, proving that integrating its services leads to larger contracts and gives it a secure base, which will also ensure revenue visibility into the future.

Indispensable

Once ABM is embedded in these environments, it becomes part of the daily operating rhythm, not a generic outsourced vendor. Airports rely on ABM to keep passenger flows running and aircraft turned; stadiums and entertainment venues depend on it to reset large spaces between events; school districts need ABM's teams on site every day to keep buildings open; data centers and fabs need ABM's technicians and power-maintenance teams to protect uptime and safety. The risk for a client of a mis-executed transition is high: a failed airport handover, a botched fab cleanroom or tool-support change, or a data center power issue is far more costly than a modest price gap on janitorial. That makes switching costs operational - retraining, re-onboarding, safety and compliance risk, and the need to rebuild site-specific knowledge - even if the contracts themselves are cancellable on relatively short notice. Thus, external sources cited ABM's renewal rate at 88% in 2024.

ABM's technology stack reinforces this embedded position. ABM Connect and related client-facing tools give customers live visibility into service levels, issues, and metrics; and the company is investing in AI-enabled RFP (request for proposals) automation, predictive maintenance, intelligent scheduling, and route optimization. In Aviation, for example, ABM emphasizes technology-driven solutions as part of its winning bids at major airports, and in Technical Solutions it uses data and analytics to manage complex project portfolios and critical-power maintenance. Thus, ABM understands the site, the scope, the compliance requirements, and the service history, making it the easier, safer, and often lower-risk choice at renewal. These tools also make ABM look less like a labor broker and more like a "smart operator" that can deliver outcomes, reporting, and compliance at a scale smaller local competitors struggle to match.

Scale

ABM's scale and geographic coverage further differentiate it. The company operates in all 50 US states and select international markets, with over \$8.7B of annual revenue and more than 100,000 employees. That allows ABM to follow large enterprise clients across regions and sites, offering a single integrated partner instead of a patchwork of local vendors. It also gives ABM the organizational depth to support complex sectors like aviation and semiconductors, where the combination of technical skill, safety programs, and 24/7 staffing is difficult to replicate. WGNSTAR's long-tenured relationships (20-plus years with certain fabs) are a good example: they demonstrate that once a provider proves it can reliably operate in a high-bar environment, relationships tend to be sticky.

Market mispricing



The market mispricing around this thesis has two parts:

1. ABM sits in a relative **coverage desert**: it has a small group of mid-cap industrials analysts covering it, and much of the commentary still frames it as a “janitorial and facilities” story rather than an integrated operator in mission-critical environments.
2. Where there is coverage, the focus has been on **quarter-to-quarter volatility** - ATS margins, self-insurance adjustments, macro commentary - with less attention paid to how ABM’s integrated model and tech stack are driving customer stickiness and cross-sell. Deutsche and UBS, for example, both model essentially flat margins for most segments and largely treat WGNSTAR, RavenVolt, and ABM’s AI/tech investments as bolt-ons, not as evidence of a deeper moat.

The variant view for Thesis 3 is that ABM has a real moat as a scaled, tech-enabled, integrated operator in complex environments: it runs multiple critical services under one roof, uses data and systems to manage quality and compliance, and has long-tenure, multi-site relationships that are hard to unwind. As regulatory, ESG, and operational-resilience expectations rise, that embedded position should become more valuable relative to local or single-service competitors. Yet the stock’s multiple still implies a world where ABM competes primarily on price and can be easily switched out, leaving this structural stickiness and tech-enabled differentiation under-recognized.

CATALYSTS

1. ESG and climate disclosure moving from “nice-to-have” to compliance (6-12 months)

- ESG and climate reporting in real estate and infrastructure is in the process of shifting from mostly voluntary to more compliance-oriented, but the pace and depth of this shift are still uncertain.
- As SEC climate disclosure rules phase in, many public REITs, institutional owners, and large occupiers may start demanding more granular, auditable ESG data from their facility operators, rather than simple policy statements.
- If a majority of institutional investors continue moving toward frameworks and require standardized ESG metrics at the asset level, facility operators with consistent systems and data models (like ABM after its ELEVATE/ERP rollout) could have an advantage over smaller contractors that rely on manual processes.
- This transition might prompt some owners to consolidate contracts with a smaller set of scaled providers who can support portfolio-wide ESG reporting, potentially opening the door for ABM to win or expand multi-site B&I, Education, and public-sector accounts.

If this plays out: it strengthens the case that ABM's investments in systems and data are not just cost but a competitive differentiator, supporting higher retention and incremental share gains in more sophisticated customer segments.



2. US semiconductor fabs and AI data centers shifting to operations (6-24 months)

- Many large US semiconductor fabs and AI-optimized data centers that are under construction today are expected to move from build to early operations over the next 1-2 years, but exact ramp timing and volumes depend on macro, project execution, and individual sponsor decisions.
- If these projects ramp broadly as planned, the spending mix should shift from engineering, procurement, and construction toward ongoing operational needs: technical workforce, cleanroom services, contamination control, and critical-power and UPS maintenance.
- ABM's WGNSTAR acquisition positions it to supply managed technical workforce and equipment support in US and Irish fabs, while Quality Uptime gives it capabilities in critical power and UPS maintenance for data centers; both could benefit if this operational demand step-up materializes.
- There is also potential for cross-sell into ABM's existing M&D and Technical Solutions customers, but that depends on ABM's ability to convert relationships into multi-service contracts rather than remaining a niche vendor.

If the ramp comes through broadly: ABM's technical revenue mix could grow faster than core janitorial, supporting higher margins and validating management's decision to allocate capital to semis and data-center infrastructure rather than traditional roll-ups.

3. Microgrid and resilience investment accelerating with grid stress (1-3 years)

- Rising grid stress, more frequent extreme weather events, and steady electrification (EV charging, heat pumps, electrified buildings) are increasing attention on energy resilience, but the speed at which this concern turns into actual capex is uncertain and sensitive to regulation and power prices.
- If corporates, retailers, and municipalities decide they cannot rely solely on the central grid, they may step up investment in microgrids, on-site generation, storage, and advanced controls to keep critical facilities running and stabilize energy costs.
- ABM's RavenVolt platform positions the company as a turnkey provider of commercial microgrids and EV charging solutions, which could allow ABM to capture both design/build projects and long-term O&M and monitoring contracts - provided customers are ready to commit capital and ABM can compete effectively against specialized energy developers and utilities.
- Some of this spending may be supported by incentives or decarbonization mandates; if such policies are expanded or extended, the addressable market for on-site resilience and distributed energy could grow faster than base FM budgets.

If this capex cycle accelerates: ABM's building and energy solutions business has the potential to become a more meaningful contributor to growth and margin mix, shifting the company further away from pure labour-intensive janitorial and toward higher-ticket technical infrastructure.



RISK & MITIGANTS

Risk 1: Earnings sensitivity in a thin-margin model

ABM runs on structurally thin margins, with gross margins in the low-teens and adjusted EBITDA margins in the mid-single digits, which makes earnings sensitive to relatively small operational shocks. Even modest changes in labor costs, contract mix, weather-driven volume, or health-care self-insurance can produce outsized volatility in quarterly results. In Q1-26, for example, revenue grew 6.1% year-over-year (5.5% organic), but adjusted EBITDA still came in roughly 6-7% below expectations as Technical Solutions margins were pressured by weather and mix, B&I/M&D and Aviation margins came in softer than anticipated, and self-insurance moved against the company.

Mitigant: The ELEVATE program and new ERP/boundary systems are explicitly aimed at standardizing processes, improving data integrity, and tightening labor and contract-level profitability management, which should over time help ABM detect unprofitable work earlier and react faster to emerging cost or mix issues. In addition, the restructuring program targeting ~\$35m of annualized savings and management's use of segment operating margin guidance (7.8-8.0% for FY26) as a "cleaner" core metric both provide some buffer and transparency around underlying profitability, even if quarterly noise persists.

Risk 2: Execution risk in technical verticals and ongoing transformation

ABM is simultaneously pushing deeper into more complex technical verticals - semiconductor fabs, data centers, and microgrids - while still working through a multi-year transformation (ELEVATE, ERP, restructuring). The WGNSTAR acquisition increases ABM's exposure to highly specialized semiconductor environments where missteps in cleanroom protocols, tool support, or workforce management could damage margins and long-tenured client relationships. Similarly, RavenVolt and Quality Uptime require ABM to execute flawlessly on critical-power and distributed-energy projects where failure has high consequences. These efforts are layered on top of an ERP rollout that has already caused invoicing delays and working-capital friction in B&I and M&D, raising the risk that operational bandwidth is stretched and integration or transformation issues could spill into service quality.

Mitigant: Management has a solid track record of executing large strategic shifts and integrating meaningful acquisitions - prior moves such as the 2020 Vision realignment, GCA in Education, and Able in janitorial/energy were absorbed without lasting disruption while revenue and adjusted EBITDA grew significantly under the current CEO. WGNSTAR and other technical acquisitions also come with experienced management teams and established client relationships, reducing the need for ABM to build all capabilities from scratch, and the current leadership bench (CEO, COO, CFO, CSO) has long internal tenure and direct experience steering the company from a janitorial roll-up toward an industry-based, technical platform.



Risk 3: Leverage and capital allocation discipline

ABM funds growth and returns through leverage. The WGNSTAR acquisition was financed via incremental term loans, temporarily elevating net leverage above the ~3x target. UBS estimates net debt/EBITDA could peak at ~3.7x in Q2-26 before moderating to ~3x by year-end, reflecting both the deal and aggressive Q1-26 buybacks (~\$90M). If macro conditions weaken or execution falters while leverage is elevated, flexibility for investment or shock absorption could be limited.

Key mitigant: Clear deleveraging framework with ample liquidity. The early-2025 credit facility amendment increased revolver capacity to \$1.6B and extended maturity to 2030, with covenants (max total net leverage 5.0x; secured 4.0x) providing breathing room. Management has committed FCF to deleveraging post-WGNSTAR, targeting ~3x near-term. Analysts see normalized FCF at ~\$250M annually, offering a credible path to reduce debt while sustaining dividends and selective buybacks.

FOLLOW UPS

Project delays:

From 2021-2025, ABM has only reported project delays due to temporary timing issues, not structural failures. Reasons being:

- Weather & Seasonality
- Some supply chain disruptions and client site readiness in 2021 and 2022 were reasons for reasons for delayed technical equipment procurement and project starts.
 - No material consequences whatsoever on ABM in terms of revenue or future projects

Backlog

- ABM does not disclose a standardized conversion metric
- But, it has a record backlog of \$1.9 billion at end of 2025, which grew by 12% YoY
- In 2023, backlog was reported to be \$1.5 billion
- In 2021, backlog was reported to be \$1 billion
- Implies growing customer orders
- But speed of conversion is not noted

VALUATION

I used a DCF with a WACC of 7.6%, terminal growth rate of 2.5%, and an exit multiple of 13.38x. For Comps analysis, I used the 25th percentile for the EV/Revenue, EV/EBITDA, and P/E multiples. I gave a weightage of 30% each to the two DCF methods, and 40% to Comps, because I believe its future cash flows slightly better reflect the company's earning potential given its current transition period, and since the Comps analysis only represents ABM's current position due to the use of 25th percentile multiples. I also gave a 60% weightage to the EV/EBITDA multiple in Comps analysis, and remaining 40% split equally



among the two, because for such a service oriented company, the operating model is the best indicator of efficiency and business quality, and thus the valuation it should receive.

For the base case, I came up with a target price of \$69.95, giving an upside of 74% over the next 2 years from the current price of \$40.20. These are for the base case. For the bull case, I used the median Comps multiple, and had higher revenue and EBIT margin projections. For the bear case, I used the current Comps multiples, and had lower revenue and EBIT margin projections.

Appendix

Summary

	USD	FX Rate	USD
ABM	\$ 40	1.00	\$ 40
FS Shares Outstanding (MM)	\$ 61		\$ 61
Market Cap (MM)	\$ 2,460		\$ 2,460
(+) Debt	\$ 1,693		\$ 1,693
(+) Minority Interest	\$ -		\$ -
(-) Cash	\$ 104		\$ 104
Enterprise Value	\$ 4,050		\$ 4,050
DCF TP (Exit Multiple)	\$ 76	Weight 30%	\$ 76
Upside/Downside	89%		89%
DCF TP (Terminal Growth)	\$ 68	Weight 30%	\$ 68
Upside/Downside	69%		69%
Comps	\$ 67	Weight 40%	\$ 67
Upside/Downside	67%		67%

Blended TP (USD)	\$ 69.95
Price Upside	74%
3Y Dividend Yield	5%
Total Return	79%

Scenario Toggle 2 <- 1: Bull, 2: Base, 3: Bear

FCF Calculation

In Millions of USD	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026 E	FY2027 E	FY2028 E	FY2029 E	FY2030 E	FY2031 E	FY2032 E	FY2033 E	FY2034 E	FY2035 E
Revenue	6,373	7,807	8,096	8,359	8,746	9,288	9,742	10,178	10,764	11,177	11,563	12,156	12,511	13,044	13,452
Revenue Growth		22%	4%	3%	5%	6%	5%	4%	6%	4%	3%	5%	3%	4%	3%
Segment Operating Expenses	5,788	7,170	7,456	7,702	8,058	8,550	8,942	9,312	9,850	10,216	10,568	11,104	11,427	11,908	12,278
Segment Operating Expenses as a %	91%	92%	92%	92%	92%	92%	92%	91%	92%	91%	91%	91%	91%	91%	91%
Total Segment Operating profit	584	637	640	657	688	738	800	866	913	961	995	1,052	1,085	1,136	1,174
Margin	9%	8%	8%	8%	8%	8%	8%	9%	8%	9%	9%	9%	9%	9%	9%
EBIT	210	352	409	213	312	315	365	418	444	480	501	532	552	580	603
EBIT Margin	3%	5%	5%	3%	4%	3%	4%	4%	4%	4%	4%	4%	4%	4%	4%
EBITDA	300	465	530	320	417	421	468	519	546	581	602	638	660	693	717
EBITDA Margin	5%	6%	7%	4%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%
Tax	(54)	(80)	(80)	(52)	(58)	(57)	(68)	(83)	(90)	(98)	(105)	(115)	(119)	(129)	(135)
NOPAT	156	273	330	161	254	258	297	336	354	382	396	417	433	451	469
(-) Capex	(34)	(51)	(53)	(59)	(79)	(65)	(68)	(71)	(75)	(78)	(81)	(85)	(88)	(91)	(94)
(-) Acquisitions	(710)	(195)	-	(114)	(37)	(264)	-	-	(200)	-	-	(250)	-	(200)	-
(+) D&A	90	112	121	107	106	106	104	101	102	101	101	106	108	112	114
(+/-) Changes in NWC	156	(273)	(304)	(88)	3	(21)	(69)	(66)	(78)	(62)	(58)	(77)	(53)	(70)	(61)
(-) Changes in Other Assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
FCFF	(342)	(133)	93	5	247	14	263	299	103	342	358	111	400	202	427
FCFF						14	263	299	103	342	358	111	400	202	427
FCFF Growth						-94%	1744%	14%	-65%	231%	5%	-69%	259%	-49%	111%
FCFF/NOPAT	-219%	-49%	28%	3%	97%	6%	89%	89%	29%	90%	90%	27%	92%	45%	91%
Capex / Revenue	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%	1%
PV of FCFF						13	227	240	77	237	231	67	222	104	205
Terminal Value (Exit Multiple)															
PV of TV (Exit Multiple)															4,608
Terminal Value (Terminal Growth)															8,566
PV of TV (Terminal Growth)															4,113
Terminal Value as a % of NPV (Exit Multiple)															74%
Terminal Value as a % of NPV (Terminal Growth)															72%



WACC

WACC		
Cost of Debt	5.50%	<- ABM's interest rate
Tax Rate	25.00%	
Cost of Debt * (1- tax)	4.13%	
Risk Free Rate	4.36%	US 10 year yield
Beta	0.73	5Y Beta
Equity Risk Premium	4.46%	US Equity Risk Premium Damodaran
Cost of Equity	7.6158%	
D/MV	0%	
E/MV	0.999	
WACC	7.6%	

Terminal EV/EBITDA	13.38x
Terminal Growth Rate	2.50%

DCF

PV of TV (Exit Multiple)	4,608	108
PV of TV (Terminal Growth)	4,113	96

Multiples Approach		
EV	6,231	102
Less: Debt	1,693	28
Less: Non-Controlling Interest	-	-
Plus: Cash	104	2
Intrinsic Value	4,642	76
Current Share Price		40
Upside/Downside		89%

Terminal Growth Approach		
EV	5,737	94
Less: Debt	1,693	28
Less: Non-Controlling Interest	-	-
Plus: Cash	104	2
Intrinsic Value	4,147	68
Current Share Price		40
Upside/Downside		69%



Comps analysis

Company	Ticker	Currency	Country	Share price	Market Cap	Revenue	Net Income	EV	Revenue Growth (TTM)	EBITDA	EBITDA Margin	EV/Revenue	EV/EBITDA	P/E	Net Debt / Revenue	Net Debt	Net Debt / EBITDA	FCF Yield	
Integrated facilities & support services																			
Aramark	ARMK-US	USD	USA	\$ 45.78	\$ 12,370.19	\$ 18,785.76	\$ 316.94	\$ 18,071.09	7.07%	\$ 1,281.23	6.82%	0.96x	14.10x		39.03x	0.32x	\$ 6,064.04	4.73x	4.14%
Sodexo	SW-FR	USD	FR	\$ 52.06	\$ 7,749.19	\$ 27,196.65	\$ 517.08	\$ 12,023.54	4.80%	\$ 1,574.26	5.79%	0.44x	7.64x		14.99x	0.18x	\$ 4,994.36	3.17x	8.33%
ISS	ISS-DK	USD	DK	\$ 41.22	\$ 7,254.78	\$ 12,805.88	\$ 393.62	\$ 9,232.73	5.40%	\$ 865.57	6.76%	0.72x	10.67x		18.43x	0.16x	\$ 2,098.87	2.42x	9.06%
Cintas	CTAS-US	USD	USA	\$ 169.36	\$ 68,651.61	\$ 11,027.21	\$ 1,930.82	\$ 71,336.40	8.70%	\$ 3,034.93	27.52%	6.47x	23.51x		35.66x	0.25x	\$ 2,734.96	0.90x	1.85%
Compass Group	CPG-GB	USD	UK	\$ 29.77	\$ 50,912.33	\$ 46,070.00	\$ 1,868.00	\$ 56,729.33	9.70%	\$ 4,485.00	9.74%	1.23x	12.65x		27.25x	0.14x	\$ 6,417.00	1.43x	-
Rentokil Initial	RTO-GB	USD	UK	\$ 6.80	\$ 17,300.82	\$ 6,908.00	\$ 470.00	\$ 22,445.72	-0.50%	\$ 1,474.00	21.34%	3.25x	15.23x		36.81x	0.55x	\$ 3,809.00	2.58x	5.14%
ABM Industries Inc	ABM	USD	USA	\$ 40.64	\$ 2,468	\$ 8,875	\$ 158	\$ 4,005	5.60%	\$ 496.60	5.60%	0.45x	8.06x		15.68x	0.18x	\$ 1,638.20	3.30x	5.75%
25th percentile					8904.44			13535.43	4.95%	1329.42	6.77%	0.78	11.16		20.64	0.17	3003.49	1.68	4.14%
Median					14835.51			20258.41	6.24%	1524.13	8%	1.10	13.38		31.46	0.22	4401.68	2.50	5.14%
Mean					27406.49			31639.80	5.86%	2119.16	13%	2.18	13.97		28.70	0.27	4353.04	2.54	5.71%

Comps Valuation			
EV/Revenue	EV/ Revenue	0.78x	Median
	Revenue	8,875	
	EV	6,933	
	Less: Debt	-	
	Plus: Cash	2	
	Equity Value	5,344	
	Fwd S/O	61	
	Price	\$ 88	
EV/EBITDA	EV/ EBITDA	11.16x	Median
	EBITDA	497	
	EV	5,543	
	Less: Debt	1,693	
	Plus: Cash	104	
	Equity Value	3,954	
	Fwd S/O	61	
	Price	\$ 65	
P/E	P/E	20.64x	Median
	EPS	2.54	
	Price	\$ 52	

Weight	Method	TP	Blended TP
20%	Revenue	\$ 88	\$ 67.16
60%	EBITDA	\$ 65	
20%	P/E	\$ 52	



UBS projections

Figure 5: Segment Information

ABM Industries (ABM) Model																														Josh Chan, CFA (212) 713-9957									
																														UBS Securities, LLC									
	Oct F2016	Oct F2017	Oct F2018	Oct F2019	Oct F2020	Oct F2021	Oct F2022	Oct F2023	Jan FQ1-24	Apr FQ2-24	Jul FQ3-24	Oct FQ4-24	Oct F2024	Jan FQ1-25	Apr FQ2-25	Jul FQ3-25	Oct FQ4-25	Oct F2025	Jan FQ1-26	Apr FQ2-26E	Jul FQ3-26E	Oct FQ4-26E	Oct F2026E	Jan FQ1-27E	Apr FQ2-27E	Jul FQ3-27E	Oct FQ4-27E	Oct F2027E	Oct F2028E	Oct F2029E	Oct F2030E								
Business & Industries																																							
Total Revenue	2,949.1	2,629.2	3,293.9	3,251.3	3,157.7	2,853.8	4,095.8	4,089.5	1,033.1	989.6	1,010.6	1,025.7	4,059.0	1,022.9	1,015.5	1,038.7	1,048.8	4,125.9	1,065.1	1,040.9	1,049.1	1,064.5	4,219.6	1,075.8	1,061.7	1,080.6	1,085.8	4,303.8	4,389.9	4,477.7	4,567.3								
Revenue Growth %		-11%	25%	-1%	-3%	-10%	44%	-0.2%	0%	-1%	-1%	-1%	-1%	-1%	3%	3%	2%	2%	4%	2%	1%	1%	2%	1%	2%	3%	2%	2%	2%	2%	2%								
Organic Growth %		-10.8%	18.8%	-1.3%	-2.9%	-8.6%	5.0%	-1.1%	-0.3%	-0.9%	-1.1%	-0.7%	-0.7%	-1.0%	2.6%	2.8%	2.3%	1.6%	4.1%	2.5%	1.0%	1.5%	2.3%	1.0%	2.0%	3.0%	2.0%	2.0%	2.0%	2.0%	2.0%								
% of Total Revenue	57%	48%	51%	50%	53%	46%	52%	51%	50%	49%	48%	47%	49%	48%	48%	47%	46%	47%	47%	47%	45%	44%	46%	46%	46%	45%	44%	45%	45%	45%	44%								
Adjusted EBIT	135.4	135.6	160.6	182.4	253.7	285.9	334.8	315.6	79.6	77.6	77.8	72.0	307.0	79.4	83.0	73.8	80.6	316.8	79.7	80.1	77.6	84.1	321.6	83.9	84.9	82.1	86.9	337.8	354.4	366.0	377.9								
Adjusted EBIT Margin %	4.6%	5.2%	4.9%	5.6%	8.0%	10.0%	8.2%	7.7%	7.7%	7.8%	7.7%	7.0%	7.6%	7.8%	8.2%	7.1%	7.7%	7.7%	7.5%	7.7%	7.4%	7.9%	7.6%	7.8%	8.0%	7.6%	8.0%	7.8%	8.1%	8.2%	8.3%								
Incremental EBIT Margin	5%	0%	4%	-9%	-9%	-11%	4%	305%	-106%	-16%	10%	173%	28%	2%	21%	-14%	37%	15%	1%	-11%	37%	22%	5%	40%	23%	14%	13%	19%	19%	13%	13%								
Adjusted EBIT Growth %		0%	18%	34%	39%	13%	17%	-6%	5%	2%	-1%	-15%	-3%	0%	7%	-5%	12%	3%	0%	-3%	5%	4%	2%	5%	6%	6%	3%	5%	5%	3%	3%								
Manufacturing & Distribution																																							
Total Revenue	697.4	925.4	917.0	956.0	1,363.2	1,445.3	1,536.8	400.9	388.6	377.1	387.7	1,554.3	394.3	398.1	408.9	417.4	1,618.7	422.3	452.0	457.8	470.8	1,802.8	475.9	486.1	489.8	499.0	1,950.8	2,038.9	2,110.0	2,194.4									
Revenue Growth %		33%	-1%	4%	43%	6%	6%	5%	4%	-1%	-1%	2%	-2%	2%	8%	8%	4%	7%	14%	12%	13%	17%	13%	8%	7%	6%	8%	4%	4%	4%	4%								
Organic Growth %		4.3%	-0.9%	4.3%	42.6%	6.0%	5.6%	5.4%	4.1%	-1.3%	-0.9%	1.8%	-1.6%	2.4%	8.4%	7.7%	4.1%	7.1%	6.0%	4.0%	5.0%	5.5%	5.0%	6.0%	7.0%	6.0%	6.0%	4.0%	4.0%	4.0%	4.0%								
% of Total Revenue	13%	14%	14%	16%	22%	19%	19%	19%	19%	18%	18%	19%	19%	19%	19%	18%	18%	19%	19%	20%	20%	20%	20%	20%	20%	21%	20%	20%	21%	21%	21%								
EBIT	47.8	67.3	72.5	84.4	155.5	161.7	161.8	41.3	43.6	40.9	40.4	166.2	39.4	39.9	36.4	35.8	151.5	36.3	39.3	40.3	42.8	158.7	40.9	44.2	44.6	44.4	174.1	186.2	195.7	205.7									
EBIT Margin %	6.9%	7.3%	7.9%	8.8%	11.4%	11.2%	10.6%	10.3%	11.2%	10.8%	10.4%	10.7%	10.0%	10.0%	8.9%	8.6%	8.4%	8.6%	8.6%	8.7%	8.8%	9.1%	8.8%	8.6%	9.1%	9.1%	8.9%	8.9%	9.2%	9.3%	8.4%								
Incremental EBIT Margin	7%	8%	-0.2%	31%	17%	8%	0%	2%	18%	-58%	46%	16%	29%	-39%	-14%	-15%	-23%	-11%	-1%	8%	13%	4%	9%	14%	13%	6%	10%	15%	12%	12%	12%								
EBIT Growth %		41%	8%	16%	84%	4%	0%	1%	7%	7%	-4%	3%	-5%	-8%	-11%	-11%	-9%	-8%	-1%	11%	20%	5%	13%	12%	11%	4%	10%	7%	5%	5%	5%								
Education																																							

Other citations:

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